

Cornerstone Classical Academy

5-Year Financial Model
Prepared March 29, 2026

Lender Readiness: Needs Work

Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

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This packet is generated from the school's financial model and is intended for lender review.
All projections are based on assumptions entered by the school founder.

Executive Summary

Cornerstone Classical Academy projects \$3,111,399 in Year 5 revenue with a 30.0% net margin. There is 1 area to strengthen, and the recommendations below will help you build a more compelling financial story.

- [] Lender Readiness: Needs Work
- [] Biggest Strength: Strong Year 5 net income
- [] Biggest Risk: No major red flags detected, so continue refining assumptions as you gather real data.
- [] Cash Runway: 60+ months

School Overview

Cornerstone Classical Academy is a Operating Private School organized as a 501(c)(3) Nonprofit with a Tuition-Based funding profile.

Supporting Assumptions

School Stage **Operating**
School Type **Private School**
Funding Profile **Tuition-Based**
Entity Type **501(c)(3) Nonprofit**
State **FL**
Opening Year **2023**

Enrollment Plan

Enrollment starts at 100 students in Year 1 and grows to 200 by Year 5 (100% growth).

Enrollment by Year

Year	Students
Year 1	100
Year 2	125
Year 3	155
Year 4	180
Year 5	200

Supporting Assumptions

Year 1 Enrollment **100**
Year 2 Enrollment **125**
Year 3 Enrollment **155**
Year 4 Enrollment **180**
Year 5 Enrollment **200**

Revenue Model

The revenue model is tuition-driven (90.8% of Year 1 revenue). Year 1 total revenue is projected at \$1.4M, growing to \$3.1M by Year 5.

[] Tuition %: 90.8%
 [] Public Funding %: 0.0%
 [] Philanthropy %: 9.2%

Revenue by Year

Year	Total Revenue
Year 1	\$1.4M
Year 2	\$1.8M
Year 3	\$2.3M
Year 4	\$2.7M
Year 5	\$3.1M

Supporting Assumptions

Private Pay / Tuition **\$1.4M**
 Registration / Enrollment Fees **\$50K**
 Student Fees (Technology & Activity) **\$40K**
 Aftercare / Extended Day **\$36K**
 Summer Program Revenue **\$18K**
 Scholarships / Financial Aid / Discount Rate **\$12**
 Annual Fund / Unrestricted Giving **\$45K**
 Board Giving / Board Commitments **\$20K**
 Grants **\$35K**
 Donations / Fundraising Events **\$15K**
 ... and 2 more (see Appendix)

Staffing Plan

Staffing costs are \$898K in Year 1, representing 63.6% of revenue. This is above the typical 50-60% benchmark and may need monitoring.

[~] Staffing % of Revenue: 63.6%

Supporting Assumptions

Head of School **\$95,000, 1 FTE**
 Assistant Principal **\$72,000, 1 FTE**
 Classroom Teachers (K-8) **\$48,000, 6 FTE**
 Specialist Teachers (Art, Music, PE, Latin)
\$45,000, 2 FTE
 Teaching Assistants / Paraprofessionals
\$30,000, 3 FTE
 School Counselor **\$55,000, 1 FTE**
 Office Manager / Registrar **\$42,000, 1 FTE**
 Admissions / Development Coordinator **\$46,000, 1 FTE**
 Facilities / Custodial **\$34,000, 1 FTE**
 Bookkeeper / Accountant **\$20,000, 0.25 FTE**
 ... and 1 more (see Appendix)

Expense Summary

Total expenses grow from \$1.3M in Year 1 to \$2.0M by Year 5.

Expenses by Year

Year	Staffing	Operating	Debt Service	Total
Year 1	\$898K	\$329K	\$85K	\$1.3M
Year 2	\$1.2M	\$325K	\$85K	\$1.6M
Year 3	\$1.3M	\$338K	\$85K	\$1.7M
Year 4	\$1.4M	\$366K	\$85K	\$1.8M
Year 5	\$1.5M	\$388K	\$85K	\$2.0M

Capital & Debt

The model includes 2 debt instruments totaling \$1.1M.

Supporting Assumptions

Building Mortgage **\$950K at 5.3% for 25 years**
Renovation Loan (Phase 2 classrooms) **\$120K at 7.0% for 10 years**

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 change in net assets is projected at \$1.2M (37.0% margin).

- [+] Revenue per Student (Year 1): \$14,128 (benchmark: Private avg: \$12,000–\$25,000)
- [!] Cost per Student (Year 1): \$14,284 (benchmark: Target: "d 85% of revenue per student)
- [~] Staffing Cost (% of Revenue): 63.6% (benchmark: Industry avg: 50–65% of revenue)
- [~] Operating Cost (% of Revenue): 30.4% (benchmark: Target: under 30% of revenue)
- [~] Net margin (Year 1): 6.0% (benchmark: Startup target: 0–5%; mature: 10%+)
- [+] Net margin (Year 5): 30.0% (benchmark: Target: 10–15%+)
- [+] 5-Year Revenue Growth: 120.2% (benchmark: Healthy schools: 30–80% over 5 years)
- [+] Capacity Utilization (Year 5): 80.0% (benchmark: Optimal: 80–95% utilization)

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	100	\$1.4M	\$1.3M	\$101K	7.2%
Year 2	125	\$1.8M	\$1.6M	\$223K	12.5%
Year 3	155	\$2.3M	\$1.7M	\$550K	24.2%
Year 4	180	\$2.7M	\$1.8M	\$872K	32.3%
Year 5	200	\$3.1M	\$2.0M	\$1.2M	37.0%

Cash Flow Analysis

Cash stays positive throughout the entire 5-year projection.

[] Cash Runway: 60+ months

Cumulative Cash Position

Year	Cumulative Net Income	Reserve Months
Year 1	\$84K	0.8 months
Year 2	\$252K	1.9 months
Year 3	\$699K	4.6 months
Year 4	\$1.4M	8.6 months
Year 5	\$2.4M	13.0 months

Debt Service Coverage

DSCR is above 1.25x, and your operating income comfortably covers debt payments. Current DSCR is 1.84x.
Benchmark: Healthy minimum: 1.25x.

[+] Debt Service Coverage Ratio (Year 1): 1.84x (benchmark: Healthy minimum: 1.25x)
[!] Year 1 Reserve Months: 0.8 months (benchmark: Target: 3+ months)
[-] Year 2 Reserve Months: 1.9 months (benchmark: Target: 3+ months)
[+] Year 3 Reserve Months: 4.6 months (benchmark: Target: 3+ months)
[+] Year 4 Reserve Months: 8.6 months (benchmark: Target: 3+ months)
[+] Year 5 Reserve Months: 13.0 months (benchmark: Target: 3+ months)

DSCR Summary

Current DSCR: **1.84x**

Benchmark: **Healthy minimum: 1.25x**

Trend: **DSCR is above 1.25x, and your operating income comfortably covers debt payments.**

Operating Reserve Analysis

Year	Reserve Months	Status
Year 1	0.8 months	Insufficient
Year 2	1.9 months	Below Target
Year 3	4.6 months	Adequate
Year 4	8.6 months	Adequate
Year 5	13.0 months	Adequate

Stress Testing

All 5 stress scenarios maintain positive Year 5 net income, indicating financial resilience.

Stress Test Results

Scenario	Y1 Net Income	Y5 Net Income	Break-Even
Enrollment 20% Below Plan	\$-47K	\$630K	Year 3
Loss of Philanthropy	\$-42K	\$779K	Year 2
Occupancy +15%, Personnel +5%	\$27K	\$834K	Year 1
Revenue Delayed 3 Months	\$-232K	\$292K	Year 4
Interest Rate +2%	\$69K	\$918K	Year 1

Lender Readiness

Lender Readiness: Needs Work. Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

[~] Readiness Level: Needs Work

Financial Health Assessment

Across 8 health dimensions: 6 healthy, 2 on watch, 0 at risk.

[+] viability: Healthy
 [+] liquidity: Healthy
 [~] staffing burden: Watch closely
 [+] facility burden: Healthy
 [+] debt affordability: Healthy
 [+] revenue concentration: Healthy
 [~] days cash: Watch closely
 [+] reserve strength: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches net income early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Watch closely	Staffing at 64% of revenue is within range but leaves limited margin for other costs.
Facility Burden	Healthy	Facility costs at 6% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 1.84x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Watch closely	63 days of cash on hand is above the minimum but below the 90-day target. A large unexpected cost could create a cash crunch.
Reserve Strength	Healthy	13.0 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Risks

The model has 1 identified risk that should be addressed.

Appendix: Key Assumptions

Complete list of 33 assumptions used in this financial model.

Supporting Assumptions

School Name **Cornerstone Classical Academy**

School Type **Private School**

Entity Type **501(c)(3) Nonprofit**

Funding Profile **Tuition-Based**

State **FL**

Year 1 Enrollment **100**

Year 2 Enrollment **125**

Year 3 Enrollment **155**

Year 4 Enrollment **180**

Year 5 Enrollment **200**

... and 23 more (see Appendix)